



Class Board Meeting

May 18th, 2026

CONFIDENTIAL

Agenda

- **Year to Date Business Summary**

- **Go to Market Update**

- **M&A Update**

- **Go Forward Expense Reduction Options**

Year to Date Business Summary

Key Takeaways From the First 4+ Months of the Year

- Class has a short-term cash problem with the forecasted cash balance approaching \$0 by late July. The cash balance will rebound in the August – January period during the company's heavy cash collection season.
- Class successfully sold the majority of its customer contracts associated with its CoSo business to Knox Systems in March 2026. CoSo has morphed from a \$7+ million business generating a modest profit to a \$2+ million business generating a modest profit.
- In the first four months of 2026 the Class business has underperformed relative to expectations and the P&L is showing an unfavorable variance to Plan. There isn't a single driver of the shortfall, but rather, a collection of smaller problems.
- The current P&L shortfall will drive cash flow issues in the first half of 2027 if corrective actions are not taken now.

Core Business Metrics & KPIs

APRIL 2026 ACTUALS

ANNUAL RECURRING REVENUE

\$20.6M

Apr 30 Actual

TOTAL CUSTOMERS

674

661 Class + 13 CoSo

YTD GROSS MARGIN

53.1%

Apr YTD Actual

CLASS RENEWAL RATE

82%

Actual for Q1

CONSULTING RENEWAL RATE

91%

Actual for Q1

YTD EBITDA

(\$1.8M)

Apr YTD Actual

CASH POSITION

\$3.7M

Unrestricted Cash Balance as of Apr 30

REVOLVER BALANCE

\$5.0M

Amount Outstanding

SALES PIPELINE VALUE

\$4.6M

95 opportunities

ARR as of April 30, 2026

ARR as of April 30, 2026	Class	Consulting	Total Company
Domestic HigherEd	\$4,166,934	\$7,500	\$4,174,434
Domestic K12	\$1,663,528	\$22,380	\$1,685,908
Domestic Corp/Gov	\$2,830,003	\$783,479	\$3,613,482
Total Domestic	\$8,660,465	\$813,359	\$9,473,824
International HigherEd	\$9,859,413	\$0	\$9,859,413
International K12	\$196,083	\$0	\$196,083
International Corp/Gov	\$1,042,827	\$0	\$1,042,827
Total International	\$11,098,322	\$0	\$11,098,322
Total HigherEd	\$14,026,346	\$7,500	\$14,033,846
Total K12	\$1,859,611	\$22,380	\$1,881,991
Total Corp/Gov	\$3,872,830	\$783,479	\$4,656,309
Total Company	\$19,758,787	\$813,359	\$20,572,145

ARR Distribution	Class	Consulting	Total
Domestic HigherEd	20.3%	0.0%	20.3%
Domestic K12	8.1%	0.1%	8.2%
Domestic Corp/Gov	13.8%	3.8%	17.6%
Total Domestic	42.1%	4.0%	46.1%
International HigherEd	47.9%	0.0%	47.9%
International K12	1.0%	0.0%	1.0%
International Corp/Gov	5.1%	0.0%	5.1%
Total International	53.9%	0.0%	53.9%
Total Company	96.0%	4.0%	100.0%

TOTAL COMPANY ARR
\$20.6M
 As of April 30, 2026

Class
\$19.8M
 96.0%

Consulting
\$0.8M
 4.0%

Domestic
\$9.5M
 46.1%

International
\$11.1M
 53.9%

ARR Trend	Amount
December 31, 2024	\$35.85M
March 31, 2025	\$35.20M
June 30, 2025	\$34.07M
September 30, 2025	\$28.85M
December 31, 2025	\$27.97M
March 31, 2026	\$22.04M
April 30, 2026	\$20.57M

Client Count as of April 30, 2026

TOTAL ACTIVE CLIENTS

674

Avg ARR \$31K

CLASS

661

Avg ARR of \$30K

CONSULTING

13

Avg ARR of \$63K

Client Count	Class	Consulting	Total
Domestic HigherEd	179	1	180
Domestic K12	65	2	67
Domestic Corp/Gov	93	10	103
Total Domestic	337	13	350
International HigherEd	243	0	243
International K12	14	0	14
International Corp/Gov	67	0	67
Total International	324	0	324
Total HigherEd	422	1	423
Total K12	79	2	81
Total Corp/Gov	160	10	170
Total Company	661	13	674

Client Distribution	Class	Consulting	Total
Domestic HigherEd	26.6%	0.1 %	26.7%
Domestic K12	9.6%	0.3%	9.9%
Domestic Corp/Gov	13.8%	1.5%	15.3%
Total Domestic	50.0%	1.9%	51.9%
International HigherEd	36.1%	0.0%	36.1%
International K12	2.1%	0.0%	2.1%
International Corp/Gov	9.9%	0.0%	9.9%
Total International	48.1%	0.0%	48.1%
Total Company	98.1%	1.9%	100.0%

1Q26 – P&L Trend and Plan Comparison

	Jan 2026 Actuals	Feb 2026 Actuals	Mar 2026 Actuals	1Q26 Actuals	1Q26 Plan	1Q26 Variance	1Q26 % Variance
Revenue							
Software	\$1,708,523	\$1,540,664	\$1,741,535	\$4,990,723	\$5,229,007	(\$238,284)	-5%
Recurring Managed Services	\$538,987	\$538,621	\$249,929	\$1,327,537	\$1,589,460	(\$261,923)	-16%
Other Professional Services	\$202,033	\$235,364	\$227,482	\$664,880	\$520,000	\$144,880	28%
Total Revenue	\$2,449,544	\$2,314,649	\$2,218,946	\$6,983,139	\$7,338,467	(\$355,328)	-5%
Total Cost of Revenue	\$1,210,035	\$1,139,122	\$982,431	\$3,331,589	\$3,229,775	(\$101,814)	-3%
Gross Profit / (Loss)	\$1,239,509	\$1,175,527	\$1,236,515	\$3,651,551	\$4,108,693	(\$457,142)	-11%
Gross Profit / (Loss) %	50.6%	50.8%	55.7%	52.3%	56.0%	-3.7%	N/A
Total Operating Expenses	\$1,593,739	\$1,542,660	\$1,771,070	\$4,907,469	\$4,729,164	(\$178,306)	-4%
Adjusted EBITDA	(\$354,230)	(\$367,133)	(\$534,555)	(\$1,255,919)	(\$620,471)	(\$635,448)	-102%
Restructuring Costs	\$0	\$0	\$0	\$0	\$0	\$0	N/A
GAAP EBITDA	(\$354,230)	(\$367,133)	(\$534,555)	(\$1,255,919)	(\$620,471)	(\$635,448)	-102%
Depreciation & Amortization	\$0	\$0	\$0	\$0	\$0	\$0	N/A
Operating Income (EBIT)	(\$354,230)	(\$367,133)	(\$534,555)	(\$1,255,919)	(\$620,471)	(\$635,448)	-102%
Other (Income) / Expense	\$225,356	\$209,868	(\$4,942,277)	(\$4,507,053)	\$622,972	\$5,130,024	N/A
Net Income	(\$579,587)	(\$577,001)	\$4,407,722	\$3,251,134	(\$1,243,443)	\$4,494,577	N/A

● March recurring managed services revenue decrease driven by Knox transaction

● March EBITDA negatively impacted by Knox transaction

April 2026 YTD Monthly P&L by Product Line

Class P&L (\$000's)	Jan 2026 Actuals	Feb 2026 Actuals	Mar 2026 Actuals	Apr 2026 Actuals	Apr YTD Actuals
Revenue	\$1,799	\$1,619	\$1,835	\$1,693	\$6,947
Cost of Revenue	\$794	\$727	\$675	\$720	\$2,916
Gross Profit	\$1,005	\$893	\$1,160	\$973	\$4,030
Gross Margin	55.9%	55.1%	63.2%	57.5%	58.0%
Total OPEX	\$1,447	\$1,386	\$1,457	\$1,509	\$5,798
EBITDA	(\$442)	(\$493)	(\$297)	(\$536)	(\$1,768)

CoSo P&L (\$000's)	Jan 2026 Actuals	Feb 2026 Actuals	Mar 2026 Actuals	Apr 2026 Actuals	Apr YTD Actuals
Revenue	\$650	\$695	\$384	\$205	\$1,934
Cost of Revenue	\$416	\$412	\$307	\$113	\$1,248
Gross Profit	\$234	\$283	\$77	\$92	\$686
Gross Margin	36.0%	40.7%	19.9%	45.0%	35.5%
Total OPEX	\$147	\$157	\$314	\$63	\$681
EBITDA	\$87	\$126	(\$238)	\$30	\$5

- The Class business was projected to run EBITDA losses in the first quarter, but achieve EBITDA positive status in the second quarter and on a go forward basis. The April EBITDA shortfall demonstrates the need for immediate expense reduction.
- After incurring one-time expenses associated with the Knox transaction in March, the Consulting business returned to EBITDA positive status in April.

April 2026 YTD – Class Expense Trend and Plan Comparison

EXCLUDES CoSo

	January Actual	February Actual	March Actual	April Actual	April YTD Actual	April YTD Plan	April YTD Variance	April YTD % Variance
Revenue	\$1,799,347	\$1,619,362	\$1,834,999	\$1,693,070	\$6,946,779	\$7,222,063	(\$275,284)	-4%
Salary Expense	\$491,868	\$476,340	\$554,127	\$468,412	\$1,990,747	\$1,838,844	(\$151,903)	-8%
Bonus Expense	\$57,099	\$48,924	\$48,924	\$50,432	\$205,380	\$221,636	\$16,257	7%
Commissions	\$120,653	\$115,239	\$106,245	\$103,574	\$445,710	\$242,733	(\$202,977)	-84%
Benefits Expense	\$52,865	\$40,507	\$44,029	\$49,164	\$186,565	\$199,792	\$13,227	7%
Payroll Tax Expense	\$30,377	\$54,060	\$20,215	\$22,266	\$126,918	\$168,973	\$42,055	25%
Payroll Processing & PEO Fees	\$16,809	\$13,187	\$12,293	\$18,124	\$60,413	\$62,000	\$1,587	3%
Travel & Entertainment	\$10,561	\$1,833	\$24,703	\$13,751	\$50,847	\$78,000	\$27,153	35%
Hosting Costs	\$484,774	\$419,212	\$369,940	\$410,852	\$1,684,777	\$1,667,528	(\$17,249)	-1%
Marketing Programs	\$3,821	\$5,730	\$15,533	\$22,166	\$47,250	\$60,000	\$12,750	21%
Software Subscriptions	\$211,033	\$200,894	\$187,002	\$95,091	\$694,020	\$675,991	(\$18,029)	-3%
Consulting Fees	\$95,989	\$98,602	\$106,434	\$43,795	\$344,819	\$212,000	(\$132,819)	-63%
Outsourced Headcount	\$52,740	\$45,863	\$48,251	\$50,707	\$197,561	\$179,600	(\$17,961)	-10%
Professional Services	\$58,235	\$81,938	\$109,153	\$104,347	\$353,672	\$327,000	(\$26,672)	-8%
Reseller Commissions	\$183,031	\$175,582	\$180,402	\$164,100	\$703,116	\$653,713	(\$49,403)	-8%
Non-Capitalized Software	\$10,036	\$148	\$1,398	\$1,288	\$12,870	\$20,000	\$7,130	36%
Third-Party Licensing	\$259,858	\$259,858	\$259,858	\$260,753	\$1,040,326	\$1,020,000	(\$20,326)	-2%
Other	\$101,278	\$74,520	\$43,369	\$350,588	\$569,754	\$458,000	(\$111,754)	-24%
Total Expense for EBITDA	\$2,241,025	\$2,112,436	\$2,131,874	\$2,229,410	\$8,714,744	\$8,085,811	(\$628,933)	-8%
EBITDA	(\$441,678)	(\$493,074)	(\$296,875)	(\$536,339)	(\$1,767,966)	(\$863,748)	(\$904,218)	

ICS is Key to Hosting Cost Reduction

Product — Q1 Results & ICS Migration

138 CUSTOMERS MIGRATED TO ICS
85 % OF CUSTOMERS



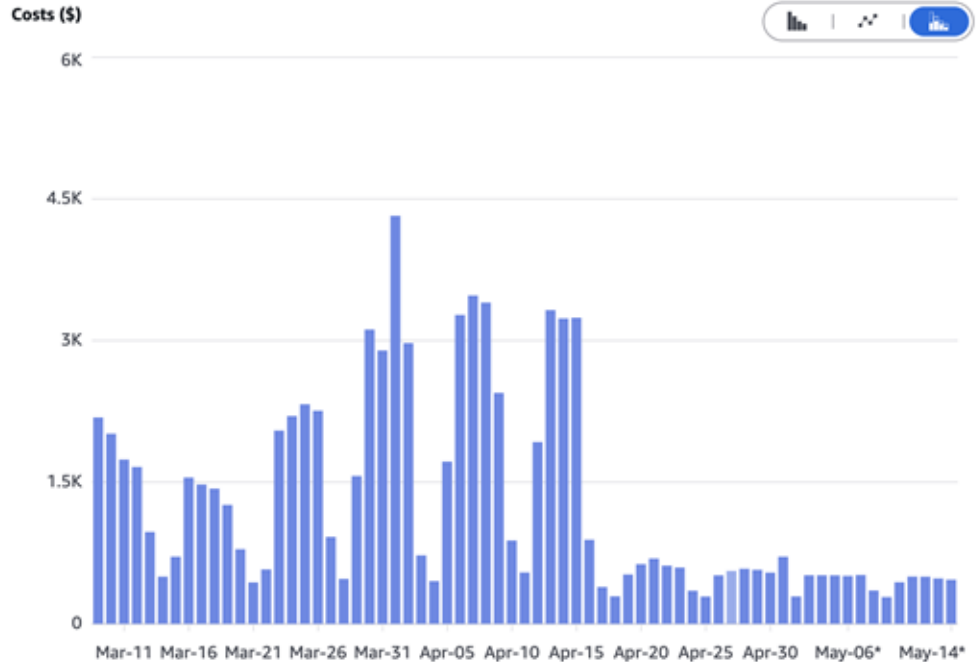
ICS = Integrated Communications Services

- **What Happened?** --- By April 16th, Collaborate infrastructure was updated globally - Canada, US, AU, and EU, now fully powered by ICS.
- **What Did It Take?** --- Deliberate sequencing and fast response - 11+ fixes across concurrent session errors, recording regressions, crashes, and performance in large sessions. All closed by April 29.
- **What's Now Available to Every Customer?** --- Live transcriptions, Waiting Room, Background Blur and Noise Reduction.

Average Daily Hosting Costs - Europe

- On April 16 the majority of our European customers were switched over to ICS. Average daily cost went from \$1,947 before April 16 to \$504 after, for a daily savings of \$1,433 or \$43K a month.

Cost and usage graph

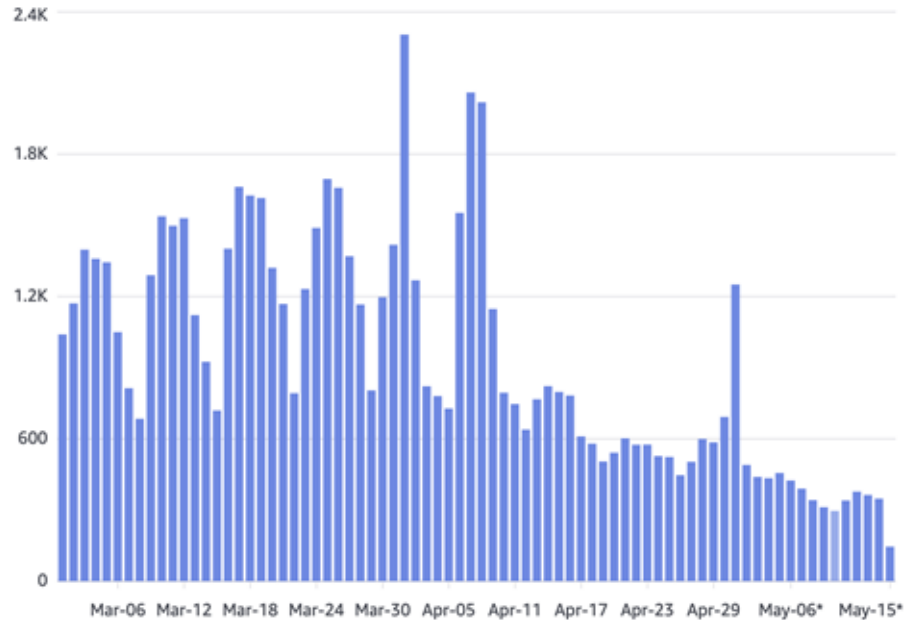


Average Daily Hosting Costs – North America

- On April 9 the majority of our North American customers were switched over to ICS. Average daily cost went from \$1,298 before April 9 to \$368 after, for a daily savings of \$930 or \$28K a month.

Cost and usage graph

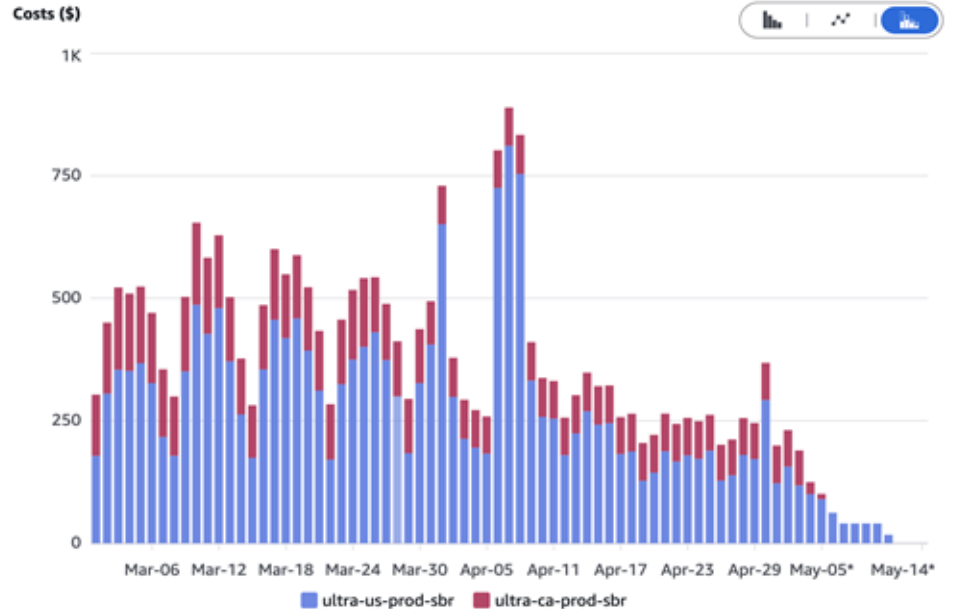
Costs (\$)



Average Daily Hosting Costs – South America

- Class originally had satellite infrastructure running in South America to help support South American customers who are hosted in Canada and the US. With ICS, this infrastructure is no longer needed. The total spend went from an average of ~\$480 a day prior to the ICS switch down to \$0.

Cost and usage graph



Headcount as of April 30, 2026

CURRENT HEADCOUNT

41

YTD CHANGE

-14

from 55

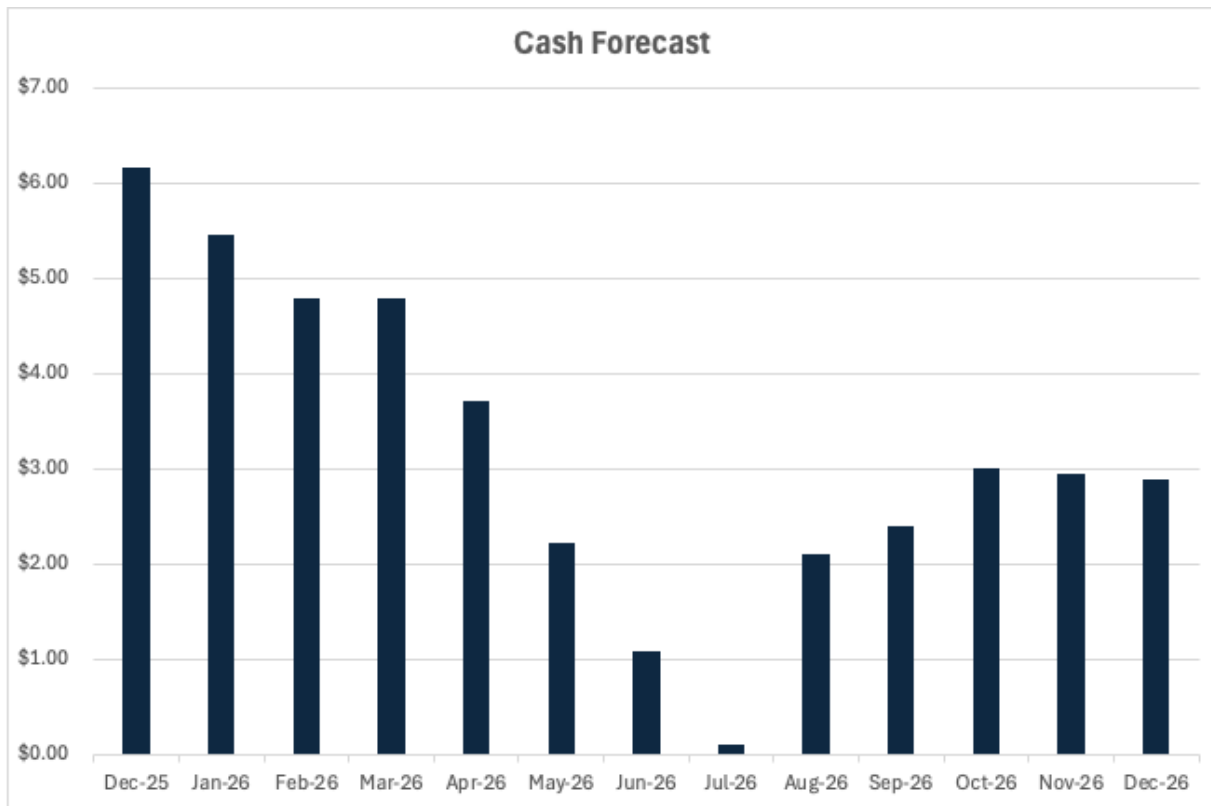
YTD % CHANGE

-25%

Headcount	Dec 31, 2024	Mar 31, 2025	Jun 30, 2025	Sep 30, 2025	Dec 31, 2025	Mar 31, 2026	Apr 30, 2026
Sales	16	14	12	9	4	4	4
Marketing	9	8	7	6	3	3	3
Renewals	8	8	8	9	7	6	6
Product	23	23	23	17	16	15	15
G&A / Management	9	7	7	7	7	7	6
Consulting (CoSo)	15	14	13	14	13	3	2
Customer Success	3	3	3	3	3	3	3
Support	2	2	2	2	2	2	2
Total Core Headcount	85	79	75	67	55	43	41

- Consulting headcount reduced to two individuals who are managing an annualized revenue stream in excess of \$2 million.
- Overall headcount down 25% from the start of 2026 to 41.

2026 Cash Forecast



- Low point cash balance of \$0.1 million occurs in late July
- Actual cash balance of \$3.48 million on May 14th
- \$3.8 million worth of Class customer contracts come up for renewal during the week of July 4th
- Class must understand the possibility, process and timeline of accessing restricted cash from Barclays if the need becomes essential

Go to Market Update

2Q26 New Sales Forecast – Company Rollup

Q2 TARGET

\$950K

CLOSED WON QTD

\$89K

Q2 FORECAST

\$736K

Q2 BEST CASE

\$1,362K

SUMMARY BY PRODUCT LINE

Product Line	Q2 Target	Won QTD	Q2 Forecast	% Attainment
Class	\$550K	\$89K	\$348K	63%
Consulting	\$400K	\$0K	\$388K	97%
Total	\$950K	\$89K	\$736K	77%

YTD TREND

YTD Trend	Q1 Actual	Q2 Forecast	1H Forecast
Class	\$242K	\$348K	\$590K
Consulting	\$517K	\$388K	\$905K
Total	\$759K	\$736K	\$1,495K

2Q26 New Sales Forecast - Class

Q2 TARGET

\$550K

CLOSED WON QTD

\$89K

Q2 FORECAST

\$348K

BEST CASE

\$856K

SUMMARY BY REGION

Region	Q2 Target	Won QTD	Q2 Forecast	% Attainment
Domestic	\$300K	\$24K	\$248K	83%
International	\$250K	\$65K	\$100K	40%
Total	\$550K	\$89K	\$348K	63%

KEY 2Q DEALS

Key Deals	Stage	Market	Timing	Amount
Transportation Safety Institute	Commit	Corp / Gov	June	\$70K
Beckton Dickson	Commit	Corp / Gov	June	\$70K
Nord Anglia Education	Closed Won	Intl. K12	April	\$34K

2Q26 New Sales Forecast – Consulting

Q2 TARGET

\$400K

CLOSED WON QTD

\$0K

Q2 FORECAST

\$388K

BEST CASE

\$506K

CoSo SUMMARY

Segment	Q2 Target	Won QTD	Q2 Forecast	% Attainment
Consulting	\$400K	\$0K	\$388K	97%

KEY 2Q DEALS

Key Deals	Stage	Market	Timing	Amount
Mazda Canada Reporting App	Negotiation	Corp / Gov	May	\$116K
Microsoft Advertising – Dev Hours	Negotiation	Corp / Gov	June	\$106K
Microsoft Advertising - Headless	Qual. App	Corp / Gov	June	\$97K

2Q26 New Sales Pipeline – Company Rollup

COMPANY PIPELINE

\$4.62M

CLASS PIPELINE

\$3.96M

CONSULTING PIPELINE

\$662K

PIPELINE SUMMARY

Quarter	Class Opps	Class \$	Consulting Opps	Consulting \$	Total Opps	Total \$
2Q26	28	\$800,284	9	\$534,265	37	\$1,334,549
3Q26	38	\$842,756	4	\$127,500	42	\$970,256
4Q26	16	\$2,316,038	0	\$0	16	\$2,316,038
Full Year 2026	82	\$3,959,078	13	\$661,765	95	\$4,620,843

2Q26 New Sales Pipeline – Class

CLASS PIPELINE

\$3.96M

CLASS OPPORTUNITIES

82

BOOKINGS TARGET

\$1.8M

TOP OPPORTUNITES

Account	Amount	Close Quarter
KPMG Canada	\$614,500	Q4
CVS Health	\$485,760	Q4
VPS Learning	\$343,420	Q4
Wells Fargo	\$314,000	Q4
Northwell Health	\$126,845	Q4
Edward Jones	\$94,000	Q2
Takeda USA	\$92,000	Q2
TTEC Holdings, Inc.	\$75,000	Q2

PIPELINE BY QUARTER

Quarter	Class Opps	Class \$
2Q26	28	\$800,284
3Q26	38	\$842,756
4Q26	16	\$2,316,038
Full Year 2026	82	\$3,959,078

PIPELINE BY REGION

Region	Class Opps	Amount	% Mix
Domestic	34	\$2,887,240	73%
International	48	\$1,081,838	27%
Total	82	\$3,959,078	100%

2Q26 New Sales Pipeline – Consulting

CONSULTING PIPELINE

\$662K

CONSULTING OPPORTUNITIES

13

TOP OPPORTUNITIES

Account	Amount	Close Quarter
Mazda Canada	\$116,400	Q2
Microsoft Corporation	\$105,840	Q2
Microsoft Corporation	\$97,875	Q2
NVIDIA Corporation	\$78,750	Q2
Mazda USA	\$75,000	Q3

PIPELINE BY QUARTER

Quarter	Consulting Opps	Consulting \$
2Q26	9	\$534,265
3Q26	4	\$127,500
4Q26	0	\$0
Full Year 2026	13	\$661,765

Class Renewal Summary

Q1

Q1 Class Renewals	Total	Domestic	International
Book of Business	\$3,379,932	\$1,396,318	\$1,983,614
Won	\$2,759,927	\$1,033,192	\$1,726,735
Open – Expected to Win	\$0	\$0	\$0
Possible Drop	\$0	\$0	\$0
Lost	\$620,005	\$363,125	\$256,879
Renewal Rate	82%	74%	87%

Q2

Q2 Class Renewals	Total	Domestic	International
Book of Business	\$2,769,254	\$1,332,167	\$1,437,087
Won	\$1,018,922	\$684,670	\$334,252
Open – Expected to Win	\$1,202,052	\$369,829	\$832,223
Possible Drop	\$360,613	\$223,264	\$137,349
Lost	\$265,335	\$88,307	\$177,028
Projected Renewal Rate	80%	79%	81%

- Class renewal rate projected to be 81% in the first half of 2026
- Preliminary Q3 projections indicate a step up in the renewal rate
- International renewal rates continue to outpace domestic renewal rates

Consulting and Company Renewal Summary

Q1

Q1 Consulting Renewals	Total Consulting
Book of Business	\$1,021,050
Won	\$934,050
Open – Expected to Win	\$0
Possible Drop	\$0
Lost	\$87,000
Renewal Rate	91%

Q2

Q2 Consulting Renewals	Total Consulting
Book of Business	\$152,489
Won	\$750
Open – Expected to Win	\$134,239
Possible Drop	\$0
Lost	\$17,500
Projected Renewal Rate	89%

Company Renewal Summary	1Q26	2Q26	1H26
Class	82%	80%	81%
Consulting (CoSo)	91%	89%	91%
Projected Renewal Rate	84%	81%	83%

- Consulting book of business dramatically reduced with the Knox transaction. Remaining consulting renewals are predominantly support arrangements for existing professional services customers.

M&A Update

M&A Update

- Update from Michael

Go Forward Expense Reduction Options

Potential Go Forward Expense Reductions

- Core headcount currently sits at 41 people (39 exclusive of CoSo). In the Spring of 2025, working with RPA, an organization of 33 (27 exclusive of CoSo) was defined as the group needed to operate a “Renewals Only” organization.
- The delta between the current organization and the “Renewals Only” organization can be broken into four unique tranches. Each tranche must be evaluated individually to determine the correct moment to execute upon expense reduction activity by comparing the tradeoff between immediate expense savings and long-term enterprise value reduction.
- Non-headcount expenses will be reduced as well. In many cases such reductions are tied to headcount reductions. As an example, shutting down the new sales function would drive savings in marketing programs and other line items.

Expense Reductions Can Be Broken Into Four Tranches

- **Tranche 1 Expense Reductions:** Scale back sales and marketing organization to bare bones. Focus on domestic sales over international. Separately, fully execute on COGS reduction associated with Zoom backend migration.
- **Tranche 2 Expense Reductions:** Scale back Product Development organization. Additionally, continue to purge as much non-headcount expense from the P&L as possible.
- **Tranche 3 Expense Reductions:** Scale back headcount after busy renewal season to account for lower deal flow.
- **Tranche 4 Expense Reductions:** Fully turn off new sales and marketing.

Tranche 1 Expense Reductions

- **Reduce New Sales & Marketing Organization from 7 heads to 4.** Focus on savings in international space where ROI on sales expense is lacking and a mature channel organization is in place to keep some degree of new sales activity flowing.
- **Actualize AWS savings from the Zoom backend migration.** With completion of this project savings should be achieved through AWS.

Tranche 1 Expense Savings	
Timing	May 2026
Annualized Savings from Headcount	\$733K
Annualized Savings from Other Sources	\$920K
Total Annualized Savings	\$1,653K

Tranche 2 Expense Reductions

- **Reduce Product Development Organization from 15 heads to 10.** Majority of Product Development sits in the Czech Republic. The Czech employees have lower than average salaries, and a 5-month notice/severance period is generally required.
- **Eliminate all non-essential spend related to non-headcount expenses.**

Tranche 2 Expense Savings	
Timing	TBD
Annualized Savings from Headcount	\$529K
Annualized Savings from Other Sources	\$600K
Total Annualized Savings	\$1,129K

Tranche 3 Expense Reductions

- **Execute on terminations that are renewal season dependent.** Certain roles that are key during the heavy renewal season should not be terminated until September.

Tranche 3 Expense Savings	
Timing	Sept 2026
Annualized Savings from Headcount	\$240K
Annualized Savings from Other Sources	\$0K
Total Annualized Savings	\$240K

Tranche 4 Expense Reductions

- **Fully eliminate the new sales and marketing function.** This action would drive short term cash savings and extend cash life. However, the consequence would be putting a shelf life on the company.

Tranche 4 Expense Savings	
Timing	TBD
Annualized Savings from Headcount	\$996K
Annualized Savings from Other Sources	\$0
Total Annualized Savings	\$996K

Expense Reduction Summary

Expense Savings Summary (\$000's)	Tranche 1 Scale Back Sales & Marketing --- AWS Savings	Tranche 2 Scale Back Product Development	Tranche 3 Scale Back G&A and Customer Success	Tranche 4 Eliminate New Sales and Marketing	Total Savings
Annualized Savings from Headcount	\$733	\$529	\$240	\$996	\$2,498
Annualized Savings from Other Sources	\$920	\$600	\$0	\$0	\$1,520
Total Annualized Savings	\$1,653	\$1,129	\$240	\$996	\$4,018
Annualized Savings from Headcount - Cumulative	\$733	\$1,262	\$1,502	\$2,498	\$2,498
Annualized Savings from Other Sources - Cumulative	\$920	\$1,520	\$1,520	\$1,520	\$1,520
Cumulative Annualized Savings	\$1,653	\$2,782	\$3,022	\$4,018	\$4,018

- Tranche 1 – Execute on now
- Tranche 2 – If no immediate M&A opportunity, execute on now
- Tranche 3 – Complete after heavy Q3 renewal period
- Tranche 4 – Pause until necessary

Go Forward Headcount Summary

Headcount	12/31/25 Actuals	3/31/26 Actuals	4/30/26 Actuals	Post Tranche 1	Post Tranche 2	Post Tranche 3	Post Tranche 4	Target Renewals Only Org	Variance
Sales	4	4	4	2	2	2	0	0	0
Marketing	3	3	3	2	2	2	0	0	0
Renewals	7	6	6	6	6	6	6	8	2
Product	16	15	15	15	10	10	10	10	0
G&A / Management	7	7	6	6	6	5	5	5	0
Consulting (CoSo)	13	3	2	2	2	2	2	6	4
Customer Success	3	3	3	3	3	2	2	2	0
Support	2	2	2	2	2	2	2	2	0
Total Core Headcount	55	43	41	38	33	31	27	33	6

- Were Class to execute on all four expense reduction tranches the resulting organization would closely resemble the organization defined by the 2025 RPA Renewal Runoff and Wind Down Plan, however, with a smaller consulting organization given the Knox transaction.

Revenue Scenarios

Original Plan

Revenue (\$'000's)	1Q26	2Q26	3Q26	4Q26	2026
Class	\$5,449	\$5,328	\$5,137	\$5,061	\$20,974
CoSo	\$1,889	\$1,906	\$1,868	\$1,786	\$7,451
Total Revenue	\$7,338	\$7,234	\$7,005	\$6,847	\$28,425

Original Plan – Adjusted for Knox Transaction

Revenue (\$'000's)	1Q26	2Q26	3Q26	4Q26	2026
Class	\$5,449	\$5,328	\$5,137	\$5,061	\$20,974
CoSo	\$1,608	\$532	\$527	\$516	\$3,183
Total Revenue	\$7,057	\$5,859	\$5,664	\$5,577	\$24,157

Current Forecast

Revenue (\$'000's)	1Q26	2Q26	3Q26	4Q26	2026
Class	\$5,254	\$5,036	\$4,879	\$4,782	\$19,950
CoSo	\$1,729	\$564	\$537	\$535	\$3,365
Total Revenue	\$6,983	\$5,600	\$5,416	\$5,316	\$23,316

Current Forecast – With No Additional New Class Sales

Revenue (\$'000's)	1Q26	2Q26	3Q26	4Q26	2026
Class	\$5,254	\$5,027	\$4,804	\$4,630	\$19,715
CoSo	\$1,729	\$564	\$537	\$535	\$3,365
Total Revenue	\$6,983	\$5,592	\$5,341	\$5,165	\$23,081

- Adjusting out revenue associated with contracts sold to Knox reduces the revenue plan for the year from \$28.42 million to \$24.16 million.
- The current 2026 revenue forecast stands at \$23.32 million.

2026-27 P&L

Current Forecast Assuming Tranche 1, 2 and 3 Expense Cuts

P&L (\$'000's)	1Q26 Actuals	2Q26 Forecast	3Q26 Forecast	4Q26 Forecast	2026 Forecast	1Q27 Forecast	2Q27 Forecast	3Q27 Forecast	4Q27 Forecast	2027 Forecast
Revenue	\$6,983	\$5,600	\$5,416	\$5,316	\$23,316	\$5,106	\$5,133	\$5,016	\$4,934	\$20,189
Cost of Revenue	\$3,332	\$2,390	\$2,154	\$2,164	\$10,040	\$2,145	\$2,119	\$2,034	\$2,070	\$8,367
Gross Profit	\$3,652	\$3,210	\$3,262	\$3,152	\$13,276	\$2,961	\$3,014	\$2,982	\$2,864	\$11,822
Gross Margin	52.3%	57.3%	60.2%	59.3%	56.9%	58.0%	58.7%	59.5%	58.1%	58.6%
Total OPEX	\$4,907	\$4,379	\$3,342	\$3,134	\$15,763	\$2,792	\$2,765	\$2,739	\$2,715	\$11,010
EBITDA	(\$1,256)	(\$1,169)	(\$80)	\$18	(\$2,487)	\$170	\$249	\$243	\$150	\$812

- Includes \$300K in quarterly new software sales from 2Q26 forward
- Assumes go forward renewal rate of 84%
- Includes \$348K of severance expense in 2Q26

2026-27 P&L in Renewals Only Scenario

Current Forecast Assuming Tranche 1, 2, 3 and 4 Expense Cuts

P&L (\$'000's)	1Q26 Actuals	2Q26 Forecast	3Q26 Forecast	4Q26 Forecast	2026 Forecast	1Q27 Forecast	2Q27 Forecast	3Q27 Forecast	4Q27 Forecast	2027 Forecast
Revenue	\$6,983	\$5,592	\$5,341	\$5,165	\$23,081	\$4,885	\$4,835	\$4,650	\$4,505	\$18,874
Cost of Revenue	\$3,332	\$2,388	\$2,136	\$2,118	\$9,973	\$2,076	\$2,021	\$1,907	\$1,910	\$7,913
Gross Profit	\$3,652	\$3,204	\$3,205	\$3,047	\$13,108	\$2,809	\$2,814	\$2,744	\$2,595	\$10,961
Gross Margin	52.3%	57.3%	60.0%	59.0%	56.8%	57.5%	58.2%	59.0%	57.6%	58.1%
Total OPEX	\$4,907	\$4,443	\$3,049	\$2,819	\$15,219	\$2,471	\$2,444	\$2,418	\$2,394	\$9,727
EBITDA	(\$1,256)	(\$1,239)	\$155	\$228	(\$2,111)	\$338	\$370	\$325	\$201	\$1,234

- Includes no new software sales from June 2026 forward
- Assumes go forward renewal rate of 84%
- Includes \$495K of severance expense in 2Q26

Final Thoughts

- While the company's cash position throughout the summer of 2026 must be closely managed, the more significant cash flow challenge will be managing through the collections trough in the spring of 2027.
- Actions on the expense side must be taken now to ensure sufficient cash reserves for 2027.
- All potential expense reductions must be evaluated through the lens of balancing short term liquidity needs against long term enterprise value.
- Potential acquisition interest would have an impact on what expense cuts are made and when.

